accounted for a mere 1.3 percent of China's total foreign trade in goods, the same size as China's trade with the Philippines and significantly smaller than China's trade with Malaysia.[65]

In China's neighbourhood diplomacy, India had a more prominent role, as Beijing wanted to further improve relations with New Delhi. China's Premier Li Peng visited India in 1991, followed by President Jiang Zemin in 1996. Nonetheless, China's overture towards India in the 1990s was only one part of an impressively forward-leaning and active diplomacy towards all its neighbouring countries. In this period, China re-established diplomatic relations with a number of countries in the region, including with South Korea, Vietnam, and Indonesia; it signed a strategic partnership with Russia in 1996; it established the Shanghai Five Group with Russia and Central Asian states in 1996; and it engaged with the Association for Southeast Asian Nations (ASEAN). Furthermore, China managed through negotiations and compromises to settle land border disputes with Russia, Vietnam, and Laos but did not reach an agreement on the border with India.

China also engaged with a wide range of regional institutions. China joined the Asia-Pacific Economic Cooperation (APEC) in 1991, the ASEAN Regional Forum in 1994, and the Asia-Europe Summit Meeting (ASEM) in 1996, and in 2001, the Shanghai Five was turned into the Shanghai Cooperation Organisation (SCO). In comparison, it took until 2005 before China joined the South Asian Association for Regional Cooperation (SAARC) as an observer, and another decade before India joined the SCO. During Li Peng's visit to India in 1991, he reiterated Deng's message to Gandhi in Beijing in 1988, that China welcomed India to work together in the interest of developing countries. This narrative had considerable appeal in India at the time, and China and India have been able to work together within the UN system on environmental issues and on international trade rules in the